



The Board of Directors of NIC Group PLC is pleased to announce the Un-audited financial results of the Group and Bank for the period ended 30th June, 2018.

I STATEMENT OF FINANCIAL POSITION	BANK				COMPANY			GROUP			
	30th June, 2018	31st March, 2018	31st Dec, 2017	30th June, 2017	30th June, 2018	31st March, 2018	31st Dec, 2017	30th June, 2018	31st March, 2018	31st Dec, 2017	30th June, 2017
	Un-audited Shs '000	Un-audited Shs '000	Audited Shs '000	Un-audited Shs '000	Un-audited Shs '000	Un-audited Shs '000	Audited Shs '000	Un-audited Shs '000	Un-audited Shs '000	Audited Shs '000	Un-audited Shs '000
A ASSETS											
1 Cash (both Local & Foreign)	1,510,717	1,422,521	1,601,159	1,229,194	429,132	1,220,007	1,200,000	1,866,447	1,798,179	1,923,174	1,581,284
2 Balances due from Central Banks	8,755,462	8,088,282	6,541,951	7,376,531	-	-	-	9,606,169	8,856,548	7,592,957	8,554,158
3 Kenyan Government securities held for dealing purposes	-	-	-	-	-	-	-	-	-	-	-
4 Financial assets at fair value through profit & loss	-	-	-	-	-	-	-	760,891	751,884	617,872	552,343
5 Investment Securities:											
a) Held to Maturity											
a. Kenya Government securities	19,647,208	21,646,484	21,577,580	14,036,252	-	-	-	19,647,208	21,646,484	21,577,580	14,036,252
b. Other securities	-	-	-	-	-	-	-	1,465,863	1,417,186	1,753,872	2,068,507
b) Available for sale:											
a. Kenya Government securities	33,582,849	30,741,744	29,917,488	27,452,746	-	-	-	33,582,849	30,741,744	29,917,488	27,452,746
b. Other securities	-	-	-	-	-	-	-	1,040,757	940,596	948,767	771,428
6 Deposits and balances due from local banking institutions	667,935	607,541	-	19,551	-	-	-	674,728	612,795	32,784	23,616
7 Deposits and balances due from banking institutions abroad	6,851,703	7,361,489	11,434,450	9,726,675	-	-	-	8,154,962	8,221,762	12,392,284	10,223,900
8 Tax recoverable	154,540	-	201,179	266,578	47,141	34,775	34,822	351,970	180,912	395,513	409,025
9 Loans and advances to customers (net)	108,245,861	108,632,924	112,322,028	109,274,084	-	-	-	114,972,494	115,914,716	119,760,537	116,769,833
10 Balances due from banking institutions in the group	1,253,043	1,683,253	1,730,189	1,557,076	-	-	-	-	-	-	-
11 Investments in associates	-	-	-	-	-	-	-	-	-	-	-
12 Investments in subsidiary companies	-	-	-	5,357,701	29,468,705	29,118,705	29,118,705	-	-	-	-
13 Investments in joint ventures	-	-	-	-	-	-	-	-	-	-	-
14 Investment properties	-	-	-	-	-	-	-	-	-	-	-
15 Property and equipment	964,688	969,445	1,024,458	898,186	-	-	-	1,094,675	1,385,040	1,148,712	1,024,797
16 Prepaid lease rentals	6,687	6,719	6,750	6,812	-	-	-	522,687	522,719	522,750	522,812
17 Intangible assets	1,156,948	1,140,127	1,054,318	587,047	-	-	-	1,666,647	1,659,127	1,580,310	1,085,512
18 Deferred tax asset	3,125,493	3,125,493	3,125,493	2,545,665	-	-	-	3,394,524	3,410,394	3,418,176	2,753,766
19 Retirement benefit asset	-	-	-	-	-	-	-	-	-	-	-
20 Other assets	1,670,258	1,635,420	2,279,830	1,345,551	32,373	207,144	53,955	2,147,793	1,725,605	2,589,684	1,659,845
21 TOTAL ASSETS	187,593,392	187,061,442	192,816,873	181,679,649	29,977,351	30,580,631	30,407,482	200,950,664	199,785,691	206,172,460	189,489,824
B LIABILITIES											
22 Balances due to Central Banks	-	-	-	-	-	-	-	-	-	-	-
23 Customer deposits	138,642,615	136,085,474	130,560,881	125,049,070	-	-	-	147,088,189	143,932,375	138,916,570	133,158,753
24 Deposits and balances due to local banking institutions	1,487,055	2,824,637	11,442,430	2,400,373	-	-	-	1,487,055	2,824,637	11,442,430	2,400,373
25 Deposits and balances due to foreign banking institutions	-	317,455	2,584	-	-	-	-	810,332	904,531	696,065	188,249
26 Other money market deposits	-	-	-	-	-	-	-	-	-	-	-
27 Borrowed funds	15,776,969	16,745,682	17,025,858	18,092,095	-	-	-	15,776,969	16,745,682	17,025,858	18,967,950
28 Balances due to banking institutions in the group	365,354	25,377	139,541	148,376	-	-	-	-	-	-	-
29 Tax payable	-	199,858	-	-	-	-	-	4,502	202,053	5,045	14,510
30 Dividends payable	-	-	-	22,308	64,904	21,438	22,388	64,904	21,438	22,388	22,308
31 Deferred tax liability	-	-	-	-	-	-	-	-	-	-	-
32 Retirement benefit liability	-	-	-	-	-	-	-	-	-	-	-
33 Other liabilities	3,770,039	4,567,074	4,707,876	3,424,270	35,908	26,641	61,685	3,499,079	3,132,618	3,347,867	2,170,268
34 TOTAL LIABILITIES	160,042,032	160,765,557	163,879,170	149,136,492	100,812	48,079	84,073	168,731,030	167,763,334	171,456,223	156,922,411
C SHAREHOLDERS' FUNDS											
35 Paid up / Assigned capital	15,000,000	15,000,000	15,000,000	3,199,728	3,519,701	3,199,728	3,199,728	3,519,701	3,199,728	3,199,728	3,199,728
36 Share Premium	9,446,004	9,446,004	9,446,004	2,700,017	2,373,994	2,700,017	2,700,017	2,373,994	2,700,017	2,700,017	2,700,017
37 Revaluation reserves	-	-	-	175,202	-	-	-	-	-	-	175,202
38 Retained earnings	1,987,679	1,549,887	3,533,108	24,695,377	23,982,844	23,992,861	23,783,718	26,385,544	25,883,085	27,815,058	25,089,502
39 Statutory loan reserves	688,919	123,700	943,716	943,865	-	-	-	648,826	196,390	1,042,359	1,182,640
40 Other reserves	428,758	176,294	14,875	828,968	-	-	-	(1,155,862)	(1,066,437)	(1,154,389)	(294,139)
41 Proposed dividends	-	-	-	-	-	639,946	639,946	-	639,946	-	-
42 Capital grants	-	-	-	-	-	-	-	-	-	-	-
	27,551,360	26,295,885	28,937,703	32,543,157	29,876,539	30,532,552	30,323,409	31,772,203	31,552,729	34,242,719	32,052,950
43 Non-controlling interests	-	-	-	-	-	-	-	447,431	469,628	473,518	514,463
44 TOTAL SHAREHOLDERS' FUNDS	27,551,360	26,295,885	28,937,703	32,543,157	29,876,539	30,532,552	30,323,409	32,219,634	32,022,357	34,716,237	32,567,413
45 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	187,593,392	187,061,442	192,816,873	181,679,649	29,977,351	30,580,631	30,407,482	200,950,664	199,785,691	206,172,460	189,489,824

II STATEMENT OF COMPREHENSIVE INCOME	BANK				COMPANY			GROUP			
	30th June, 2018	31st March, 2018	31st Dec, 2017	30th June, 2017	30th June, 2018	31st March, 2018	31st Dec, 2017	30th June, 2018	31st March, 2018	31st Dec, 2017	30th June, 2017
	Un-audited Shs '000	Un-audited Shs '000	Audited Shs '000	Un-audited Shs '000	Un-audited Shs '000	Un-audited Shs '000	Audited Shs '000	Un-audited Shs '000	Un-audited Shs '000	Audited Shs '000	Un-audited Shs '000
1 INTEREST INCOME											
1.1 Loans and advances	5,751,280	2,806,734	12,202,914	6,177,458	-	-	-	6,207,996	3,036,998	13,145,500	6,640,617
1.2 Government securities	3,105,370	1,510,580	4,720,018	1,883,571	-	-	-	3,281,460	1,599,247	5,210,043	2,146,988
1.3 Deposits and placements with banking institutions	76,507	25,408	67,001	29,880	-	-	-	80,024	27,926	59,879	23,863
1.4 Other interest income	-	-	-	-	43,396	23,538	-	-	-	-	-
1.5 TOTAL INTEREST INCOME	8,933,157	4,342,722	16,989,933	8,090,909	43,396	23,538	-	9,569,480	4,664,171	18,415,422	8,811,468
2 INTEREST EXPENSE											
2.1 Customer deposits	3,564,300	1,716,879	5,537,054	2,453,323	-	-	-	3,685,487	1,775,184	5,955,774	2,675,665
2.2 Deposits and placement from banking institutions	91,481	79,030	289,619	49,784	-	-	-	104,763	85,717	319,111	61,469
2.3 Other interest expenses	634,493	314,200	1,312,159	650,517	-	-	-	645,809	319,841	1,366,735	675,429
2.4 TOTAL INTEREST EXPENSE	4,290,274	2,110,109	7,138,832	3,153,624	-	-	-	4,436,059	2,180,742	7,641,620	3,412,563
3 NET INTEREST INCOME	4,642,883	2,232,613	9,851,101	4,937,285	43,396	23,538	-	5,133,421	2,483,429	10,773,802	5,398,905
4 NON - INTEREST INCOME											
4.1 Fees and commissions on loans and advances	536,091	294,555	1,276,434	630,760	-	-	-	585,471	320,385	1,404,759	677,457
4.2 Other fees and commissions	453,534	221,908	803,446	391,448	-	-	-	495,834	243,621	890,335	436,735
4.3 Foreign exchange trading income	636,687	280,060	1,092,920	551,991	-	-	-	683,035	300,264	1,158,930	584,068
4.4 Dividend income	-	-	-	-	200,000	200,000	-	-	-	-	-
4.5 Other income	215,610	108,184	471,199	211,415	71,067	45,570	46,708	385,610	178,636	710,316	310,737
4.6 TOTAL NON-INTEREST INCOME	1,841,922	904,707	3,643,999	1,785,614	271,067	245,570	46,708	2,149,950	1,042,906	4,164,340	2,008,997
5 TOTAL OPERATING INCOME	6,484,805	3,137,320	13,495,100	6,722,899	314,463	269,108	46,708	7,283,371	3,526,335	14,938,142	7,407,902
6 OPERATING EXPENSES											
6.1 Loan loss provision	934,785	503,883	2,779,913	1,430,896	-	-	-	1,113,751	554,711	2,979,723	1,445,703
6.2 Staff costs	1,366,096	627,430	2,516,271	1,267,787	46,783	29,433	23,358	1,697,979	803,311	3,177,296	1,576,660
6.3 Directors' emoluments	29,385	14,692	143,345	60,207	55,689	20,812	21,349	122,117	43,027	196,489	75,455
6.4 Rental charges	125,236	63,245	237,750	125,002	-	-	-	190,476	97,399	372,434	190,626
6.5 Depreciation charge on property and equipment	102,217	50,108	200,796	101,365	-	-	-	131,022	63,983	274,698	135,428
6.6 Amortisation charges	75,845	37,426	188,557	105,742	-	-	-	88,663	44,266	222,540	123,869
6.7 Other operating expenses	941,989	488,690	1,752,431	787,485	14,375	6,938	750	1,091,599	533,136	2,114,012	941,773
6.8 TOTAL OPERATING EXPENSES	3,575,553	1,785,474	7,819,063	3,878,484	116,847	57,183	45,457	4,435,607	2,139,833	9,337,192	4,489,514
7 Profit before tax and exceptional items	2,909,252	1,351,846	5,676,037	2,844,415	197,616	211,925	1,251	2,847,764	1,386,502	5,600,950	2,918,388
8 Exceptional items	-	-	-	-	-	-	-	-	-	-	-
9 PROFIT AFTER EXCEPTIONAL ITEMS	2,909,252	1,351,846	5,676,037	2,844,415	197,616	211,925	1,251	2,847,764	1,386,502	5,600,950	2,918,388
10 Current tax	(872,775)	(405,553)	(2,108,423)	(853,324)	715	(3,578)	34,822	(861,091)	(413,845)	(2,121,835)	(888,625)
11 Deferred tax	-	-	579,829	-	-	-	-	-	-	665,303	-
12 PROFIT AFTER TAX AND EXCEPTIONAL ITEMS	2,036,477	946,293	4,147,443	1,991,091	198,331	208,348	36,073	1,986,673	972,657	4,144,418	2,029,763
13 Other Comprehensive Income:											
13.1 Exchange differences on translation of foreign operations	-	-	-	-	-	-	-	(297,645)	(63,823)	(148,994)	(71,514)
13.2 Fair value changes in available-for-sale financial assets	413,883	161,419	984,072	903,749	-	-	-	296,172	151,775	120,979	903,749
13.3 Revaluation surplus on property, plant and equipment	-	-	-	-	-	-	-	-	-	-	-
13.4 Share of comprehensive income of associates	-	-	-	-	-	-	-	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	-	-	-	-	-	-	-	-	-	-	-
14 OTHER COMPREHENSIVE INCOME FOR THE YEAR NET OF TAX	413,883	161,419	984,072	903,749	-	-	-	(1,473)	87,952	(28,015)	832,235
15 TOTAL COMPREHENSIVE INCOME FOR THE YEAR	2,450,360	1,107,712	5,131,515	2,894,840	198,331	208,348	36,073	1,985,200	1,060,609	4,116,403	2,861,998
	Shs	Shs	Shs	Shs	-	-	-	Shs	Shs	Shs	-
EARNINGS PER SHARE- BASIC & DILUTED (Shs)	135.77	63.09	6.48	3.11	0.28	0.33	0.06	2.82	1.52	6.48	3.17
INTERIM DIVIDEND PER SHARE - DECLARED (Shs)	-	-	-	-	-	-	-	-	-	-	-
FINAL DIVIDEND PER SHARE - DECLARED (Shs)	-	-	-	-	-	-	1.00	-	-	1.00	-

III OTHER DISCLOSURES	BANK				COMPANY			GROUP			
	30th June, 2018 Un-audited Shs '000	31st March, 2018 Un-audited Shs '000	31st Dec, 2017 Audited Shs '000	30th June, 2017 Un-audited Shs '000	30th June, 2018 Un-audited Shs '000	31st March, 2018 Un-audited Shs '000	31st Dec, 2017 Audited Shs '000	30th June, 2018 Un-audited Shs '000	31st March, 2018 Un-audited Shs '000	31st Dec, 2017 Audited Shs '000	30th June, 2017 Un-audited Shs '000
1.NON-PERFORMING LOANS AND ADVANCES											
(a) Gross Non-performing loans and advances	15,626,414	15,269,807	13,264,825	13,484,055	-	-	-	16,157,764	15,936,895	14,320,960	14,341,928
(b) Less Interest in Suspense	1,580,812	1,486,397	1,214,317	1,626,192	-	-	-	1,605,040	1,543,419	1,282,160	1,688,021
(c) TOTAL NON-PERFORMING LOANS AND ADVANCES (a-b)	14,045,602	13,783,410	12,050,508	11,857,863	-	-	-	14,552,724	14,393,476	13,038,800	12,653,907
(d) Less Loan Loss Provision	6,493,979	5,955,082	4,922,952	4,827,677	-	-	-	6,824,055	6,109,493	5,265,710	5,132,699
(e) NET NON-PERFORMING LOANS AND ADVANCES(c-d)	7,551,623	7,828,328	7,127,556	7,030,186	-	-	-	7,728,669	8,283,983	7,773,090	7,521,208
(f) Discounted Value of Securities	7,551,623	7,828,328	7,127,556	7,030,186	-	-	-	7,728,669	8,283,983	7,773,090	7,521,208
(g) NET NPLS EXPOSURE (e-f)	-	-	-	-	-	-	-	-	-	-	-
2.INSIDER LOANS AND ADVANCES											
(a) Directors, shareholders and associates	906,360	945,189	571,342	536,672	-	-	-	939,381	1,009,947	678,070	630,677
(b) Employees	2,209,323	2,273,593	2,249,290	2,173,830	-	-	-	2,294,762	2,347,924	2,275,960	2,184,524
(c) TOTAL INSIDER LOANS & ADVANCES & OTHER FACILITIES	3,115,683	3,218,782	2,820,632	2,710,502	-	-	-	3,234,143	3,357,872	2,954,030	2,815,201
3.OFF-BALANCE SHEET ITEMS											
(a) Letters of credit, guarantees, acceptances	15,740,258	14,915,529	14,504,043	15,914,206	-	-	-	15,993,258	15,124,546	14,700,202	16,257,295
(b) Forwards, Swaps and options	9,473,424	8,408,327	12,052,253	28,773,328	-	-	-	9,473,424	8,408,327	12,052,253	28,773,328
(c) Other contingent liabilities	-	-	-	-	-	-	-	576,998	671,380	546,883	713,621
(d) TOTAL CONTINGENT LIABILITIES	25,213,682	23,323,856	26,556,296	44,687,534	-	-	-	26,043,680	24,204,253	27,299,338	45,744,244
4.CAPITAL STRENGTH											
(a) Core capital	24,831,497	24,949,527	27,651,530	26,394,170	-	-	-	31,019,969	31,047,725	33,417,167	30,004,474
(b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	-	-	-	1,000,000	1,000,000	1,000,000	1,000,000
(c) Excess (a-b)	23,831,497	23,949,527	26,651,530	25,394,170	-	-	-	30,019,969	30,047,725	32,417,167	29,004,474
(d) Supplementary Capital	4,605,568	4,416,040	5,312,857	6,506,474	-	-	-	4,565,475	4,488,730	5,411,500	6,745,249
(e) TOTAL CAPITAL (a+d)	29,437,065	29,365,567	32,964,388	32,900,644	-	-	-	35,585,444	35,536,455	38,828,667	36,749,723
(f) TOTAL RISK WEIGHTED ASSETS	163,491,796	162,113,273	165,647,097	161,806,922	-	-	-	171,798,461	170,517,868	174,375,225	169,791,834
(g) Core Capital / Total deposits liabilities	17.89%	18.33%	21.18%	21.11%	-	-	-	21.09%	21.57%	24.06%	22.53%
(h) Minimum statutory ratio	8.00%	8.00%	8.00%	8.00%	-	-	-	8.00%	8.00%	8.00%	8.00%
(i) Excess (g-h)	9.89%	10.33%	13.18%	13.11%	-	-	-	13.09%	13.57%	16.06%	14.53%
(j) Core Capital / Total risk weighted assets	15.19%	15.39%	16.69%	16.31%	-	-	-	18.06%	18.21%	19.16%	17.67%
(k) Minimum statutory ratio	10.50%	10.50%	10.50%	10.50%	-	-	-	10.50%	10.50%	10.50%	10.50%
(l) Excess (j-k)	4.69%	4.89%	6.19%	5.81%	-	-	-	7.56%	7.71%	8.66%	7.17%
(m) Total Capital / Total risk weighted assets	18.01%	18.11%	19.90%	20.33%	-	-	-	20.71%	20.84%	22.27%	21.64%
(n) Minimum statutory ratio	14.50%	14.50%	14.50%	14.50%	-	-	-	14.50%	14.50%	14.50%	14.50%
(o) Excess (m-n)	3.51%	3.61%	5.40%	5.83%	-	-	-	6.21%	6.34%	7.77%	7.14%
(p) Adjusted Core Capital / Total deposits liabilities*	19.63%	19.48%	-	-	-	-	-	21.09%	22.66%	-	-
(q) Adjusted Core Capital / Total risk weighted assets*	16.42%	16.20%	-	-	-	-	-	17.81%	18.95%	-	-
(r) Adjusted Total Capital / Total risk weighted assets*	19.20%	18.90%	-	-	-	-	-	20.43%	21.56%	-	-
5. LIQUIDITY											
(a) Liquidity Ratio	50.71%	50.17%	46.72%	46.58%	-	-	-	48.75%	48.21%	48.23%	45.65%
(b) Minimum statutory ratio	20.00%	20.00%	20.00%	20.00%	-	-	-	20.00%	20.00%	20.00%	20.00%
(c) Excess (a-b)	30.71%	30.17%	26.72%	26.58%	-	-	-	28.75%	28.21%	28.23%	25.65%

SUMMARY CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital Shs '000	Share Premium Shs '000	Statutory and Other Reserves Shs '000	Revenue Reserves Shs '000	Proposed Dividends Shs '000	Total Shs '000
At 1st January 2018	3,199,728	2,700,017	(112,031)	28,288,576	639,946	34,716,236
Profit for the period	-	-	-	1,986,673	-	1,986,673
Other comprehensive income	-	-	(395,005)	(3,442,274)	-	(3,837,279)
2017 final dividends paid	-	-	-	-	(639,946)	(639,946)
Bonus issue 2018	319,973	(326,023)	-	-	-	(6,050)
Balance as at 30th June 2018	3,519,701	2,373,994	(507,036)	26,832,975	-	32,219,634

SUMMARY CONSOLIDATED STATEMENT OF CASH FLOWS

	30th June, 2018 Un-audited Shs '000	31st Dec, 2017 Audited Shs '000	30th June, 2017 Un-audited Shs '000
Cash flows generated / (used) from operating activities	13,574,455	(813,715)	3,195,754
Net cash used in investing activities	(170,691)	(1,085,666)	(120,733)
Net cash used in financing activities	(2,135,814)	(3,712,261)	(640,823)
Net increase/ (decrease) in cash and cash equivalents	11,267,949	(5,611,642)	2,434,198
Cash and cash equivalents at 1st January	2,929,861	8,541,503	8,541,503
Cash and cash equivalents at 30th June	14,197,810	2,929,861	10,975,701

* The adjusted capital ratios include the expected credit loss provisions added back to Capital in line with Central Bank of Kenya guidance note issued in April 2018 on implementation of IFRS 9.

MESSAGE FROM THE DIRECTORS

On 1 September 2017 NIC Bank Limited completed its restructuring into a Non-Operating Holding Company. This followed receipt of the requisite approvals by shareholders and bondholders, as well as regulatory authorities including Central Bank of Kenya, Capital Markets Authority and The National Treasury. NIC Bank Limited also completed its change of name to NIC Group PLC. From 1st September 2017 the Kenyan banking business was undertaken by NIC Bank Kenya PLC. The Bank's 2017 comparative financial information is prior to the restructure.

The audited statement of comprehensive income for the Bank for the year ended 31st December 2017 comprise the combined Kenyan banking business for 12 months whilst that of the Company (NIC Group PLC) represents the performance for the 4 months period to 31 December 2017.

The financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institution's website www.nicgroup.com. They may also be accessed at the institution's head office located at NIC House, Masaba Road, Nairobi.

NIC Group PLC and NIC Bank Kenya PLC are regulated by the Central Bank of Kenya.

BY ORDER OF THE BOARD

I. MURAGE

GROUP COMPANY SECRETARY